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Office of Procurement Services

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Issued By:

Kathleen C. Madden, Director

State of Ohio Administrative Policy

Purchasing Goods and Services

I. Purpose

This policy establishes requirements for the ***Purchase*** of ***Goods*** and ***Services*** fairly, openly, and transparently. The first occurrence of a defined term in this policy is in bold, italic type and is hyperlinked to the definition in Section IV.

II. Scope

This policy applies to ***State Agencies*** superintended with purchasing authority by the Department of Administrative Services (DAS).

III. Policy

A. **Purchasing Procedures:** State Agencies shall adopt written procedures consistent with this policy and all applicable laws, DAS rules, and DAS policies for purchasing Goods and Services. Additionally, State Agencies should establish processes ensuring clear lines of authority and a separation between those requesting and those authorizing and/or approving contract actions.

B. **Use of OhioBuys:** State Agencies are required to use the ***OhioBuys*** procurement system.

State Agencies shall continue to use OhioBuys, designate one or more administrators to coordinate its administration and use, and use it for all procurement-related activities, including but not limited to:

1. Creating, submitting, and approving Purchase requisitions;
2. Managing Purchase orders;
3. Making Purchases with a State payment card (Pcard), whenever practical;
4. Managing order receipts and returns;
5. Creating, managing, and awarding solicitations (including Quick Quotes);
6. Creating, managing, and awarding contracts; and
7. Managing ***Suppliers*** (specifically, using the Exceptions Module to track supplier performance).

C. **Requisite Procurement Programs:** State Agencies are required by Ohio Revised Code (ORC) Section 125.035 and Ohio Administrative Code (OAC) Section 123:5-1-17 to Purchase from requisite procurement programs before purchasing from other sources.

1. Purchases from requisite procurement programs have no dollar limitation and do not count against a State Agency's cumulative annual ***Controlling Board*** threshold (see Section III. H.).
2. State Agencies must determine if their procurement needs can be met by any of the first requisite procurement programs, in this order:
   a) Ohio Penal Industries (OPI)
   b) Community Rehabilitation Program (CRP)
   c) Ohio-Based Personal Protective Equipment (PPE) Manufacturers Program
3. If none of the first requisite procurement programs can provide the needed Goods or Services, State Agencies must determine if they are available from any of these second requisite procurement programs:
   a) Opportunities for Ohioans with Disabilities' Business Enterprise Program (BEP)
   b) Office of Information Technology (OIT)
   c) Office of State Printing and Mail Services
   d) Department of Mental Health and Addiction Services' Ohio Pharmacy Services Center (OPSC)
   e) Ohio Facilities Construction Commission (OFCC)
4. Projects involving construction of and improvements and alterations to public works estimated to cost $250,000 or more, or projects involving professional design Services as defined in ORC Section 153.65 estimated to cost more than $50,000, must be reviewed by OFCC. If OFCC determines that Chapter 153 applies, it will administer the project.
5. If a requisite procurement program can fulfill a State Agency's procurement need, then the State Agency is required to make the Purchase from that program. However, if the requisite procurement programs cannot, then the State Agency may Purchase from a non-requisite source upon receipt of a ***Waiver*** granted by the requisite procurement program.
6. State Agencies not fully onboarded to OhioBuys must work directly with the applicable requisite program to make Purchases. For a Purchase potentially valued at $25,000 or more, a Request to Purchase (RTP) must be submitted to DAS unless the Purchase:
   a) Can be made using a ***State Contract***; or
   b) Is covered by a ***Non-IT Blanket Release and Permit***.

D. **State Contracts:** When the procurement need cannot be fulfilled by any requisite procurement programs, State Agencies shall determine if a State Contract exists before making Purchases, soliciting quotes, seeking Controlling Board approval, or working with DAS to establish a contract.

1. Purchases made from and referencing a State Contract as the Purchase authority will not be counted against a State Agency's cumulative annual Controlling Board threshold.
2. State Agencies are required to Purchase from mandatory-use State Contracts. If the contract's Supplier cannot provide the Goods or Services needed by a State Agency, DAS may grant a Waiver allowing the State Agency to make the Purchase from another source. State Agencies are prohibited from purchasing from another source until DAS has granted the Waiver.
3. DAS establishes Competitive Selection Two-Phase Contracts on behalf of State Agencies. Before purchasing from these contracts, State Agencies must complete secondary solicitations using one of the following methods:
   a) Competitive Selection Two-Phase Quote by soliciting in accordance with Section III. J. of this policy.
   b) Competitive Selection Two-Phase Pre-Qualification by submitting an RTP to DAS.
4. State Agencies that are using OhioBuys in accordance with Section III.B. of this policy are not required to submit requests to the Controlling Board when purchasing from ***State Term Schedule (STS) Contracts***. When referencing an STS Contract as the purchasing authority, if there are multiple STS suppliers that could provide the required Goods or Services, quoting requirements in Section III.J. of this policy apply.
5. When referencing a Master Maintenance Agreement (MMA) as the purchasing authority, if there are multiple MMA suppliers that could perform the required Services, quoting requirements in Section III.J. of this policy apply.
6. Prices listed in State Contracts must be considered not-to-exceed prices.
   a) State Agencies not receiving contract pricing should contact DAS for assistance.
   b) For STS, MMA, and Competitive Selection Two-Phase contracts, purchase order change requests of 10% or more require another sourcing event. OhioBuys exempts change orders that are for more than 10% if the contract referenced has the Waive STS/MMA Quoting Requirement flag checked.

E. ***Direct Purchase Authority*:** If a State Agency has determined that neither a requisite procurement program nor a State Contract can fulfill the procurement need, the State Agency may use its DPA if the procurement will not exceed the thresholds explained in this section and Section III.J. of this policy.

1. State Agencies shall not split Purchases of like items to avoid the threshold cited in ORC Sections 125.05 and 127.16.
2. When using their DPA, State Agencies shall comply with all other provisions of this policy.
3. State Agencies may only make Purchases of $50,000 or more using their DPA pursuant to this subsection.

a) State Agencies must make Purchases costing $50,000 or more through DAS. For Purchases potentially exceeding the $50,000 threshold, State Agencies should involve DAS in the initial stages of preparing their Purchase requests.
b) If DAS determines it is not possible or advantageous for DAS to make the Purchase on behalf of a State Agency, DAS will grant the requesting State Agency a release and permit delegating the authority to make the Purchase to the requesting State Agency.

F. **Non-IT Purchases**

1. State Agencies must submit an RTP to DAS for non-IT Purchases of $50,000 or more that are not being made using a Requisite Procurement Program, a State Contract, or a Non-IT Blanket Release and Permit.
2. Purchases referencing a ***Non-IT Release and Permit*** or Non-IT Blanket Release and Permit are subject to the thresholds identified in Section III.J. of this policy.
3. State Agencies must list the Non-IT Release and Permit or Non-IT Blanket Release and Permit numbers on the requisition and any applicable Controlling Board request.

G. **IT Purchases**

1. State Agencies must submit an RTP to DAS for IT Purchases of $50,000 or more that are not being made using a Requisite Procurement Program, a State Contract, or an IT Blanket Release and Permit.
2. For IT Purchases under $25,000 in OhioBuys, State Agencies must submit the IT Purchase to DAS for review and must not make Purchases until DAS's review is complete and an ***IT Blanket Release and Permit*** has been assigned to the requisition. DAS will issue an IT Blanket Release and Permit for each State Agency, except for the following items, which require an individual ***IT Release and Permit***:
   a) Deliverables-based IT Services (DBITS) projects;
   b) IT staff augmentation Services;
   c) IT equipment and licensing from enterprise standards-based contracts (e.g., ERP, IT service management, document management, desktops, laptops, remote location servers);
   d) Telecommunications Goods or Services with a per unit cost of $1,000 or more;
   e) Third party hosting or cloud-based solutions (XaaS);
   f) Microsoft licenses;
   g) Infrastructure equipment (e.g., storage, servers, VoIP, routers, switches, etc.); and
   h) Any other item set forth in standard, policy, or initiative established by DAS.
3. Requests for telecommunication Purchases with a per unit cost under $1,000 must be submitted through the OIT Service Catalog found at https://stateofohio.service-now.com.
4. State Agencies using OhioBuys to Purchase from ***Pre-governed Contracts*** are not required to obtain quotes if contract pricing is established via a catalog, except for STS Contracts.

H. **Controlling Board Threshold:** State Agencies must follow the requirement of ORC Section 127.16(B)(1) limiting an individual State Agency's cumulative annual spend for Goods and Services Purchased from a particular supplier to $50,000.

1. If a Purchase that is not being made through either a State Contract or ***Competitive Selection*** causes the State Agency's cumulative annual spend with a particular supplier to be $50,000 or more, Controlling Board approval is required, unless:
   a) The State Agency has met the requirements of Section III. J. of this policy; or
   b) The Purchase is otherwise exempt from Controlling Board approval.
2. If the Purchase, when combined with the cumulative annual spend, is less than $50,000 for a particular supplier, Controlling Board approval is not required unless otherwise mandated (e.g., subscriptions for online news periodicals or news websites with publishers that are not headquartered in Ohio and have an aggregate cost of $500 or more).

I. **Required Approvals:** Information technology, printed ***Supplies*** and multi-functional print devices, and vehicles require review and approval by DAS prior to their Purchase, unless exempted by OBM's expense account codes.

1. State Agencies must use OhioBuys to request DAS review and approval for these Purchases. Review and approval will be completed in OhioBuys.
2. When planning for these Purchases, the appropriate office listed below must be contacted before issuing a Purchase order and/or entering into any agreement with a supplier.
   a) Information Technology – Refer to Section III.G. .
   b) Printed Supplies and multi-functional print devices (e.g., copiers, printers) – DAS Office of State Printing and Mail Services: Trisha.Stephens@das.ohio.gov.
   c) Vehicles – DAS Office of Fleet Management: DASFLEET@das.ohio.gov.

J. **Agency Solicitations and Awards:** State Agencies must follow the procurement decision process illustrated in Section IX.A. State Agencies must maintain records describing how this process was followed (e.g., the ***Competitive Manner*** in which Purchases were made, how responses to solicitations were evaluated, the basis on which an award was made, etc.). Requests for Information (RFI) and Public Notice solicitations do not meet the requirement for making the purchase in a Competitive Manner.

1. State Agencies frequently using DPA or Controlling Board authority to make routine, repeated Purchases must contact DAS to determine if a State Contract should be established.
2. When using DPA, MMA, or STS contracts to make Purchases valued at more than $5,000, State Agencies must solicit from two or more Suppliers unless the State Agency is conducting a Sole-source Procurement or a Single-source Procurement (see Section III.K.). For Purchases of $5,000 or less, whenever practical to do so, State Agencies are encouraged to solicit quotes from two or more Suppliers.
3. ***Agency Competitive Selection (ACS)*:** State Agency Purchases and contract awards are considered competitively selected and are not subject to Controlling Board review provided the State Agency is using OhioBuys in accordance with Section III.B. of this policy and has:

a) Submitted a Request to Purchase (RTP) to DAS for purchases that require an RTP and DAS has provided a disposition resolution of either IT agency released solicitation or Non-IT agency released solicitation.
b) Conducted the purchase in a Competitive Manner by:
   i. Publicly posting the opportunity for a sufficient amount of time based on the purchase(s) being made, but for no less than 10 business days;
   ii. Notifying all Suppliers registered under the commodity codes listed in the solicitation of the opportunity, including MBE Suppliers.
   iii. Receiving offers and awarding the solicitation in OhioBuys.
c) Received a DAS Release and Permit through an OhioBuys contract.

4. Amendments to State Agency contracts that have met the requirements of Section III.J.3. require a DAS release and permit if the amendment increases the value of the contract.
5. In cases where a requisition requires an IT or Non-IT Release and Permit and references an Agency Administered contract, the Agency Administered contract must be set up in the OhioBuys contract module. These contract shells must also have signed documents attached; scope of work, terms and conditions, and service level agreements must be visible, at a minimum.
6. State agencies must enter awarded contracts for Purchases with an estimated total value over $25,000 in the OhioBuys contracts module.

K. ***Sole-source Procurements*** **and** ***Single-source Procurements*****:** When the requirements of Section III.J.3. of this policy have been met, Sole-source Procurements and Single-source Procurements are not subject to Controlling Board review and do not require that a RTP be submitted to DAS.

1. If the requirements of Section III.J.3 have not been met:
   a) Sole-source Procurements and Single-source Procurements are subject to the thresholds and requirements of Section III.H. of this policy.
   b) For non-IT procurements, all State Agencies must submit an RTP through OhioBuys and clearly indicate it as a Sole-source Procurement or a Single-source Procurement.
2. For IT procurements, State Agencies must submit a requisition through OhioBuys. State Agencies must maintain records and written justification for Sole-source Procurements or Single-source Procurements documenting:
   a) The efforts made to find other ***Responsive*** and ***Responsible*** Suppliers and a determination that none were found (Suppliers are required to document via letter they are a Sole-source provider);
   b) How a determination was made that the Supplier was Sole-source or Single-source;
   c) How a determination was made that the anticipated cost would be fair and reasonable;
   d) The State Agency's history with the supplier; and
   e) Any other facts supporting the selection process.
3. For Sole-source and Single-source IT procurements, a State Agency must provide written justification as part of its Purchase requests.

L. **<u>MBE Set-Aside Purchases</u>:** State Agencies are required by ORC Section 125.081 to set-aside approximately 15% of Purchases made by Competitive Selection during a fiscal year for competition only by MBEs certified by the Director of the Ohio Department of Development in accordance with ORC Section 122.921.

1. When conducting MBE set-aside solicitations, State Agencies must document the solicitation process, solicit quotes from only Ohio-certified MBEs, and mark vouchers in OAKS as MBE Set-Aside to receive set-aside credit. (It is important to note using OhioBuys enables State Agencies to meet this requirement by storing solicitation data.)
2. Each State Agency must monitor its set-aside expenditures quarterly and, as necessary, adjust its projection plans submitted to the Department of Development's Minority Business Development Division (MBDD) to meet the 15% set-aside requirement. State Agency Purchases from contracts that have been set-aside, partially set-aside, or contain an embedded MBE set-aside count towards the 15% requirement.
3. State Agencies should regularly evaluate the impact of their set-aside selections. For each contract to be an MBE set-aside, State Agencies should consider:
   a) Not repeatedly selecting an entire category of Goods or Services for set-aside and, instead, alternating various categories of Goods or Services.
   b) The length of time a contract has been set-aside and/or held by an incumbent Supplier and limiting the number of renewals to provide Suppliers with an opportunity to compete for opportunities to do business with the State.
   c) Splitting contracts or Purchases into smaller or multiple contracts to allow small businesses to compete. (This does not supersede Section III.H. of this policy prohibiting State Agencies from splitting Purchases to avoid the thresholds.)
   d) Checking progress against the State Agency's MBE projection plan and determining if it needs modified to meet the 15% requirement.
4. All Goods or Services being purchased as an MBE set-aside require a United Nations Standard Products and Services Commodity (UNSPSC) code. To be eligible for a set-aside procurement, MBE Suppliers must have the same approved UNSPSC code on their MBE certification letter as that identified in a State Agency's solicitation. (MBE certification letters can be found at https://development.my.site.com/ODSA/s/mbddcertifications). Certified MBE Suppliers not having the correct UNSPSC code should be considered not Responsive.

M. **EDGE Purchases:** ORC Section 122.922 requires State Agencies to award a percent (as annually determined by the Director of Development) of all IT, construction, architecture, engineering, and professional Services Purchases to EDGE participants. State Agencies must:

1. Take appropriate steps to foster, support, and encourage the participation of underutilized businesses and encourage such businesses to compete for contracts by including a participation goal for construction contracts and ***Requests for Proposals (RFPs)*** when subcontractors are used;
2. Determine whether EDGE participation is feasible for the procurement based upon EDGE supplier availability. When it is feasible, an EDGE participation goal set in accordance with OAC Section 123:2-14-13 shall be included in the solicitation. Each RFP evaluation process shall include evaluation of EDGE participation, and each contract must specify the EDGE

goal for subcontracts and Purchases from EDGE business enterprises to meet the State Agency's overall EDGE goal, in accordance with OAC Section 123:2-14-09;

3. Examine internal procurement policies, procedures, and practices and remove those elements adversely impacting economically and socially disadvantaged businesses;
4. Examine and eliminate all unnecessary barriers to equitable participation (e.g., bonding and licensing requirements, excessive experience requirements, use of proprietary specifications, and other non-essential procurement-related requirements);
5. Set goals meeting or exceeding the annual goal set by the Director of Development; and
6. Provide MBDD with quarterly reports and annual projection plans on EDGE utilization using templates provided annually by the division. (State Agencies should note that quarterly reports are generated by MBDD on their behalf.)

N. ***Women-Owned Business Enterprise (WBE)*** **Purchases:** State Agencies should consider purchasing from WBE Suppliers to foster their development and increase the number of qualified competitors in the marketplace.

O. ***Veteran-Friendly Business Enterprise (VBE)*** **Purchases:** State Agencies should consider purchasing from VBE Suppliers to foster their development and increase the number of qualified competitors in the marketplace. Although there are no procurement goals or set-aside requirements for VBE, these Suppliers are eligible for a procurement preference.

P. **Procurement Preferences:** All ***Bids*** and offers will be considered for preferences, with a ***Bidder*** or an ***Offeror*** being able to qualify for all three preferences (i.e., Buy American, ***Buy Ohio***, and VBE) under OAC Section 123:5-1-06.

1. Five percent will be assigned to the first preference and two percent each for the second and third preferences. All the percentages will be summed up and applied as a total percentage for purposes of evaluating a Bid or offer, up to a maximum of nine percent. For ***Invitations to Bid (ITBs)*** and reverse auctions, preference percentages will be deducted from the Bidder's total cost. For RFPs, preference percentages will be added to the Offeror's total score.
2. Preferences will be applied only when there is at least one Bidder or Offeror that does not qualify for that particular preference. For purposes of qualifying for a particular preference, Bidders and Offerors who do not complete the certification for each preference will be deemed as not having qualified for that preference.
3. For Bids containing multiple line items or multiple ***Products***, when considering Buy American or the Products portion of Buy Ohio, preferences will be applied per line item or only for that particular Product.
   a) For RFPs, if an Offeror is claiming the Buy American and Buy Ohio preferences based on the Product(s) offered, the Offeror is only eligible to receive the preference if the cost of the Product(s) offered exceeds 50% of the total offered cost for Products and Services. A ***Buy Ohio Supplier*** is eligible to receive the Buy Ohio preference based solely on its

Significant Ohio Economic Presence or designation as a ***Border State*** regardless of the origin of any Product offered.

b) After the preferences have been applied, the lowest Bid or highest scoring offer will be considered for award unless doing so is not in the best interest of the State. Additionally, the evaluation and final determination of the award will be made under OAC Sections 123:5-1-07 and 123:5-1-08.

4. State Agencies need to apply preferences as described by OAC 123:5-1-06 when:
   a) The purchase is expected to exceed the $50,000 threshold.
   b) A Bidder or Offeror is certified by Development as a VBE pursuant to ORC Section 122.925(B); or
   c) Purchasing PPE from a source other than a requisite procurement program or a State Contract pursuant to ORC Section 125.05. (See Section III. U. of this policy for additional information concerning PPE Purchases.)

Q. **Methods of Procurement and Payment:** Unless otherwise noted, the requirements contained in this policy shall be followed regardless of the payment method.

1. If purchasing from a State Contract, State Agencies must check the contract prior to making the Purchase to identify acceptable forms of payment.
2. When purchasing with a Pcard, State Agencies must reference Pcard Program information at: http://finsource.ohio.gov/SAFEManual/index.htm#t=(SAFE)_State_of_OhioPayment_Card_Program.htm.

R. **Authorization of Purchases:** If a State Agency proceeds with a Purchase prior to receiving the appropriate authorization, the person who authorized the Purchase may be held personally liable for the Purchase pursuant to ORC Sections 3.12 or 127.16.

S. **Debarments:** ORC Sections 125.25, 153.02, and 5513.06 give supplier debarment authority to DAS, OFCC, and the Ohio Department of Transportation (ODOT). These statutes also stipulate the reasons that could result in a supplier being debarred by one of these State Agencies.

1. In accordance with ORC Section 9.242(B), a debarred supplier cannot participate in any contracts issued by any State Agency until the supplier's debarment period expires. Additionally, ORC Section 9.242(C) requires State Agencies to exclude debarred vendors from participating in any other contracts during the debarment period.
2. State Agencies are required to reference a supplier's profile in OhioBuys or use the statewide debarment list (https://procure.ohio.gov/state-and-local-agencies/resources/08_debarment-csv-list) to determine if a supplier has been debarred.
3. State Agencies are also required to reference the Ohio Secretary of State's and the federal System for Award Management's (SAM) debarment lists. Links to these lists are available at https://procure.ohio.gov/state-and-local-agencies/resources/08_debarment-csv-list.

4. State Agencies are prohibited from awarding contracts funded in whole or in part with federal and/or State funds to any supplier or business included on any debarment list.

T. **<u>Findings for Recovery</u>:** ORC Section 9.24 prohibits State Agencies from awarding contracts to persons against whom the Auditor of State has issued unresolved findings for recovery. When conducting procurements, State Agencies are required to search the Auditor of State's Findings for Recovery database (https://ohioauditor.gov/findings.html#unresolved_findings).

U. **<u>Purchasing Personal Protective Equipment</u>:** Purchases of PPE must meet the definition prescribed by ORC 125.05 adhere to the requirements of that section and ORC 125.035.

1. For Purchases with a total cost of less than $50,000, State Agencies must first determine if the PPE being Purchased is available from a requisite procurement program.
2. If the Purchase cannot be fulfilled by a requisite procurement program, State Agencies and DAS must work together to determine if a State Contract is either available or can be established from which to purchase PPE.
3. If a State Contract is not or will not be available, State Agencies must apply the Buy American and Buy Ohio preferences mandated by ORC Section 125.09 and OAC Section 123:5-1-06.
4. DAS may issue a release and permit for PPE Purchases from a foreign PPE manufacturer if purchasing from an Ohio-based PPE manufacturer would result in a State Agency paying a price that is 120% higher than the price available from the foreign manufacturer.

V. **<u>Invalid Terms and Conditions</u>:** For all contracts entered into on or after September 30, 2021, State Agencies must assure that the invalid terms and conditions identified in ORC Section 9.27 have not been included.

W. **<u>Override Contracts</u>:** If work is performed on a contract after the contract has expired, an override contract may be created for the purpose of paying invoices. Override contracts are created by DAS OPS for DAS or ASC contracts only. Contact OPS to request and provide:
1. The expired contract number.
2. The dollar amount of the invoice or payments in the case of a lease contract.
3. The length of time the override contract will be open.

IV. Definitions

A. Agency Competitive Selection (ACS): Authorized by ORC Section 125.01 as "electronic procurement," the use of OhioBuys by State Agencies to conduct procurements using Competitive Selection, provided requirements prescribed by DAS, the ORC, and the OAC have been met.
B. Bid. A response submitted by a Bidder to an Invitation to Bid.
C. Bidder. A person or firm that submits a Bid in response to an Invitation to Bid.

D. Border State. Any State that is contiguous to Ohio that does not impose a restriction greater than Ohio imposes pursuant to ORC Section 125.09 and ORC Section 125.11 on persons located in Ohio selling Goods or Services to agencies of that state. DAS recognizes the Commonwealths of Kentucky and Pennsylvania and the States of Indiana, Michigan, and West Virginia as Border States.

E. Buy Ohio. Procurement preference given to Goods that are mined, excavated, Produced, manufactured, raised, or grown in the state or a state bordering Ohio where the input of Buy Ohio Products, labor, skill, or other Goods constitutes no less than twenty-five per cent of the manufactured cost. With respect to mined Products, they must be mined or excavated in this state or a state bordering Ohio. Any products that include semiconductors produced by a company with a significant economic presence in Ohio are eligible for the Buy Ohio preference.

F. Buy Ohio Supplier. A supplier submitting a Bid or offer offering Buy Ohio Products or demonstrating Significant Ohio Economic Presence.

G. Competitive Manner. An open and fair process used to Purchase Goods or Services that promotes competition among prospective Bidders or Offerors.

H. Competitive Selection. Any of the following procedures for making Purchases: (1) competitive sealed bidding under ORC Section 125.07, (2) competitive sealed proposals under ORC Section 125.071, (3) reverse auctions under ORC Section 125.072, and (4) electronic procurement (i.e., Agency Competitive Selection) under ORC Section 125.073.

I. Controlling Board. The Controlling Board is established by ORC Section 127.12 and has approval authority for certain types of Purchases as required by law.

J. Direct Purchase Authority (DPA). The authority of a State Agency to make Purchases without Competitive Selection pursuant to ORC Section 125.05 and ORC Section 127.16.

K. Encouraging Diversity, Growth, & Equity (EDGE). A business owned and controlled by a United States citizen who is a resident of Ohio if its owner is both socially and economically disadvantaged, or if the business is located in a qualified census tract and the owner is economically disadvantaged. In addition, the business must have been in business for at least one year prior to applying and be at least 51% owned by socially and economically disadvantaged individuals. Economic disadvantage is based primarily on the owner's personal net worth. Social disadvantages for the EDGE program are race or ethnic origin, female gender, chronic physical or mental disability, and/or the business owner's long-term residence in an environment isolated from the mainstream of American society.

L. Goods. Refers to anything that can be purchased that is not a Service or real property, including Products and Supplies.

M. Invitation to Bid (ITB). A type of Competitive Selection under ORC Section 125.07 utilized for soliciting competitive sealed Bids.

N. IT Blanket Release and Permit. Each fiscal year, DAS issues IT blanket Release and Permits to each State Agency to facilitate IT Purchases under $25,000 per transaction. IT commodities are identified by OBM's expense account codes. DAS may issue guidance limiting the use of the blanket for certain Goods and Services.

O. IT Release and Permit. A required type of prior approval for IT Purchases that is issued by DAS when it is not possible or advantageous to make the Purchase through DAS. DAS issues a unique IT Release and Permit per Purchase request by fiscal year, typically provided for transactions that are $25,000 or more. IT commodities are identified by OBM's expense account codes. The OBM expense account code indicates when an IT Release and Permit is required.

P. Minority Business Enterprise (MBE). A business owned and controlled by a United States citizen who is a resident of Ohio and a member of one or more of the following minority groups: Blacks or African Americans, American Indians, Hispanics or Latinos, and Asians. In addition, the business must have been in business for at least one year prior to applying and be at least 51% minority owned.

Q. Non-IT Blanket Release and Permit. Each biennium, DAS issues Non-IT Blanket Release and Permits for all Purchases of certain types of general Goods or Services, categorized by OBM expense account code, which authorizes State Agencies to make such Purchases without the involvement of DAS.

R. Non-IT Release and Permit. A required type of prior approval issued by DAS allowing State Agencies to make Purchases exceeding the State Agency's DPA. A Non-IT Release and Permit is issued when it is not possible or advantageous for DAS to make the Purchase on behalf of the State Agency.

S. Offeror. A person or firm who submits a proposal in response to an RFP.

T. OhioBuys. The State of Ohio's online purchasing solution.

U. Pre-Governed Contracts. IT contracts not requiring OIT to review/approve requisitions to complete the approval workflow process within OhioBuys.

V. Produced. The manufacturing, processing, mining, developing, and making of a thing into a new article with a distinct character in use through the application of input, within the state or a state bordering Ohio, of Buy Ohio Products, labor, skill, or other Goods. "Produced" does not include the mere assembling or putting together of Products or materials from outside of Ohio or a state bordering Ohio.

W. Products. Materials, Goods, merchandise, wares, and foodstuffs.

X. Purchase. To buy, rent, lease, lease purchase, or otherwise acquire Goods or Services. Purchase also includes all functions that pertain to obtaining Goods or Services, including description of requirements, selection and solicitation of sources, preparation and award of contracts, all phases of contract administration, and receipt and acceptance of the Goods and Services and payment for them.

Y. Request for Proposals (RFP). A type of Competitive Selection under ORC Section 125.071 utilized for soliciting competitive sealed proposals from Offerors.

Z. Responsible. Bidders shall be considered Responsible based on their experience, financial condition, conduct and performance on previous contracts, facilities, management skills, and ability to execute the contract properly.

AA. Responsive. Bids shall be considered Responsive if the Bidder's proposal responds to Bid specifications in all material respects and contains no irregularities or deviations from the specifications that would affect the amount of the Bid or otherwise give the Bidder a competitive advantage.

BB. Services. The furnishing of labor, time, or effort by a person, not involving the delivery of a specific end Product other than a report which, if provided, is merely incidental to the required performance. Services does not include services furnished pursuant to employment agreements or collective bargaining agreements.

CC. Significant Ohio Economic Presence: Business organizations that: (1) pay required taxes to the State of Ohio or applicable Border State; (2) are registered and licensed to do business in the State by the Secretary of State's Office or as required by applicable Border State; and (3) have ten or more employees based in Ohio or the applicable Border State, or 75% percent or more of their employees based in Ohio or the applicable Border State.

DD. Single-source Procurement. A procurement from one Supplier, selected for strategic reasons, even though there are other Suppliers in the market that are capable of providing the same or equivalent Goods or Services.

EE. Sole-source Procurement. A purchase from one selected Supplier because there are no other Suppliers in the market that are capable of providing the same or equivalent Goods or Services.

FF. State Agencies. Every organized body, office, or agency established by the laws of the State for the exercise of any function of State government. It does not include elected state officers, the general assembly or any legislative agency, a court or any judicial agency, or a state institution of higher education.

GG. State Contract. A contract established by DAS through Competitive Selection or made available in conjunction with authority granted to DAS by a Waiver of Competitive Selection from the Controlling Board.

HH. State Term Schedule (STS) Contract. Contracts negotiated directly with a manufacturer or Service provider who must agree to terms and conditions prepared by DAS. Pricing is either based upon General Services Administration pricing schedules or a manufacturer's most favored customer pricing schedule for a similarly situated customer. The manufacturer or service provider may name any number of authorized distributors who will provide the Goods or Services to the State Agencies on their behalf.

II. Suppliers. A business or organization that is fully registered to do business with the State.

JJ. Supplies. All property, including, but not limited to equipment, materials, and other tangible assets, but excluding real property or an interest in real property.

KK. Veteran-Friendly Business Enterprise (VBE). A sole proprietorship, association, partnership, corporation, limited liability company, or joint venture that meets veteran employment standards established by the Directors of the Ohio Department of Development and the Ohio Department of Transportation. The VBE program assists eligible veteran supporting businesses to become certified and compete for contracts, including construction Services.

LL. Waiver. An exemption that permits a State Agency to not purchase from either a requisite procurement program or an established mandatory State Contract.

MM. Women-owned Business Enterprise (WBE). A business owned and controlled by women who are United States citizens and are residents of either Ohio or a Border State. Additionally, the business must have been in business for at least one year prior to applying and be at least 51% women owned.

V. Authority

ORC Sections 125.09, 125.18, 125.25
OAC Sections 123:5-1-01–123:5-1-17, 123:6-1-09

VI. Resources

Document Name	Location
Current non-IT blanket Release and Permits	https://dam.assets.ohio.gov/image/upload/procure.ohio.gov/pdf/About_Procurement/Procurement_Policies/FY26_and_FY27_Blanket_Release_Permit.pdf
Controlling Board Manual	https://archives.obm.ohio.gov/Files/Controlling_Board/Resources/Controlling_Board_Manual/Controlling%20Board%20Manual%205-4-23.pdf
State Accounting Fiscal Essentials (SAFE) Policy Manual	finsource.ohio.gov/SAFEManual/index.htm#welcome_to_the_safe_manual.htm.
Information about the MBE, EDGE, WBE, and VBE programs	https://development.ohio.gov/business/minority-business

VII. Inquiries

Direct inquiries about this policy to:

Justin Lovett
Chief Procurement Officer/Deputy Chief Counsel
Office of Procurement Services
General Services Division
Ohio Department of Administrative Services
4200 Surface Road, Columbus, Ohio 43228

614-300-9220 | Justin.Lovett@das.ohio.gov

State of Ohio Administrative Policies may be found online at https://das.ohio.gov/home/policy-finder/filter-policy-finder.

VIII. Revision History

Date	Description of Change
09/01/2008	Original policy.
02/01/2019	Reformatted, revised and republished.
01/17/2023	Revised and republished to incorporate revised statutes, rules, and DAS Statewide Administrative Policies (i.e., HR-50); OhioBuys changes; requirements

	for solicitations valued at $5,000 or less and more than $5,000; glossary definition; and the Procurement Process Decision workflow.
10/12/2023	Revised and republished using the updated DAS Statewide Policy Template. Additionally, the Procurement Decision Process workflow has been revised, House Bill (HB) 33 changes have been incorporated, STS and MMA solicitation requirements have been updated, definitions have been added for “Buy Ohio Supplier,” “Electronic Procurement,” and “Produced,” and the definition of “Border State,” “Competitive Manner,” “Competitive Selection,” “Direct Purchase Authority, “and “Supplies” have been revised.
01/30/2024	The Procurement Decision Process workflow has been revised, policies have been added regarding amendments to State Agency contracts and for purchase order change requests, references to “Supplies and Services” have been revised to “Goods and Services,” a definition for “Goods” has been added to the Glossary, outdated STS quoting requirements have been deleted.
01/02/2025	Updates have been made to selection of requisite procurement programs, the ability for DAS to award State Contracts within the same geographic region has been clarified, revisions have been made to requirements for State Agency solicitations and awards, competitive selection two-phase contract solicitation requirements have been updated, a section has been added for sole-source and single-source procurements, a definition for Agency Competitive Selection has been added, grammatical updates have been made throughout, paragraphs have been re-ordered and re-numbered, STS and MMA information has been moved to Section III.D, STS information has been included in the Appendix.
09/30/2025	Revisions have been made to address use of OhioBuys for all procurements, change orders, use of RTPs for IT purchases, clarification of and updates to Agency Solicitations and Awards including ACS requirements, and AC, use of requisitions for AACs, posting contract awards in OhioBuys, application of procurement preferences, changes affirmative action plan verification requirements, override contracts, and consideration of non-IT Blanket Release and Permits in the Procurement Decision Process.

IX. Appendix

A. Procurement Decision Process